

Hyundai G.F. Holdings (005440 KS)

Holding company of Hyundai Department Store Group | Institutional equity research note | 14 September 2026 | Currency: KRW (bn = billion won)

Data caveat. This note was compiled from public filings, company IR, Korean press and sell-side notes as surfaced through web search. Live market-data terminals and the DART/KIND disclosure viewers were not reachable from this environment, so **share prices are the last verified prints (dated in each table) and the share count after the June 2026 share exchange is an estimate.** Items marked "est." are the author's estimates. Refresh prices before acting; a sensitivity table is provided for the two variables that matter most (Hyundai Department Store price and the holdco share count).

Reference price (11 Sep 2026 close, implied by Heungkuk TP 18,000 = +34.3%) ~KRW 13,400	Pro forma shares (est., post swap, post 2026 cancellation) ~170m	Market cap (est.) ~KRW 2.3tn	Base-case NAV / share (est.) ~KRW 17,500	Implied discount to NAV (base) ~24%
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1. Executive summary

Hyundai G.F. Holdings ("GFH") became the single holding company of Hyundai Department Store Group in November 2023 and has spent the three years since converting a loosely-held, multi-listed group into a clean two-tier structure. 2026 was the decisive year: the intermediate holdco Hyundai Home Shopping ("HHS") was folded in through a 1:6.3571 share exchange (completed 30 June, delisted 20 July), all 6.5m holdco treasury shares were cancelled, a further KRW 100bn buy-and-cancel programme is running, the stake in Hyundai Department Store ("HDS") was lifted to 37.35%, and the dividend floor for 2026 was raised to at least KRW 441 per share (about KRW 75bn). The final step, a spin-off of HHS's KRW 1.2tn investment portfolio (Handsome, Hyundai Futurenet, Hyundai L&C) and its merger into GFH, is scheduled to complete before 1 March 2027.

The stock has re-rated hard: market cap was ~KRW 1.25tn in early January 2026 and is ~KRW 2.3tn today. On our base-case NAV the discount has compressed to roughly 20-35% (depending on the HDS price used), versus the 50-60% that Korean holdcos have historically traded at and that most local brokers still quote. **Our view: the "easy" discount compression is largely done. From here the equity is a levered play on HDS (roughly 45-55% of NAV) plus a genuine dividend-growth story (holdco dividend income guided to ~KRW 100bn in 2027 from KRW 59bn in 2025), tempered by a holdco that is now a net borrower (~KRW 0.4tn, est.) and a family that controls well over half the votes.** We would own it for the 2027 dividend step-up and the structural clean-up, but we would size it as a HDS proxy with a governance kicker, not as a deep-discount holdco.

2. Bull case: why the discount narrows further

- Duplicate-listing discount removed.** HHS, the intermediate holdco that sat between GFH and Handsome/Futurenet/L&C, is now 100%-owned and unlisted. After the Dec-2026 spin-off and merger, Handsome (40.5%), Hyundai Futurenet (79.3%) and Hyundai L&C (100%) become direct subsidiaries. The market has historically applied a "double discount" to grandchild stakes; that layer disappears.
- Dividend income step-change.** Holdco dividend income: KRW 37.3bn (2024) → 58.6bn (2025) → ~62bn (2026E) → ~100bn (2027E, Heungkuk), driven by 100% of HHS's dividends (no more 43% leakage to minorities), a higher HDS stake, and HDS's own KRW 50bn dividend target. Add ~KRW 20bn of brand royalty (0.2% of affiliate sales, introduced 2025). Management targets an 80%+ payout of separate net income; 2025 delivered 82.5%.
- Hard shareholder-return commitments.** 2026 DPS ≥ KRW 441 (≥3.3% yield at 13,400), interim dividend ≥ KRW 10bn, KRW 100bn buy-and-cancel in 2026 (~4% of shares), all 6.5m legacy treasury shares cancelled in H1 2026. Group-wide ~KRW 350bn of treasury shares cancelled across HDS, Green Food, Handsome, Futurenet.

- **HDS earnings momentum.** HDS 2025 OP KRW 378bn (+33%), duty-free profitable for the first time, Q2 2026 department-store OP +59% on inbound tourism and the domestic wealth effect (KOSPI ~6,900). Sell-side targets for HDS sit at KRW 200-270k versus the last verified print of 166,800 (9 June). Every KRW 10k on HDS adds ~KRW 80bn (~KRW 470/share) to GFH NAV.
- **Regulatory tailwinds specific to Korean holdcos.** The March 2026 Commercial Code amendment makes cancellation of treasury shares mandatory within one year; the 2025 amendment extended directors' duty to shareholders; dividend-income separate taxation for high-payout companies rewards exactly the 80%+ payout GFH is running. Domestic funds have been rotating into high-payout holdcos.
- **Hidden asset.** The Apgujeong "3-district" commercial site (book value ~KRW 20bn) is inside the redevelopment zone whose plan was gazetted in January 2026 and awarded to Hyundai E&C; local press puts post-redevelopment value near KRW 500bn (~KRW 2,900/share).
- **Fair Trade Act deadline works for minorities.** The 1 March 2027 compliance deadline forces the group to finish the clean-up (HHS merger, Bioland resolution) rather than leave it half-done.

3. Bear case: why the discount widens or stays static

- **The discount is already narrow.** On our numbers GFH trades at a ~20-35% discount, not 50-60%. Further upside needs NAV growth, not multiple compression, and NAV is ~50% HDS, itself up sharply and trading on peak inbound-tourism and wealth-effect earnings.
- **Holdco leverage is rising.** Separate borrowings jumped to KRW 220bn (all commercial paper) by September 2025 and net debt was ~KRW 219bn in February 2026; since then the holdco has funded ~KRW 100bn of buybacks, ~KRW 75bn of HDS purchases and ~KRW 40bn of Daewon Kangup purchases. We estimate net debt of KRW 350-400bn today (double leverage was already 114% in September 2025). CP-funded holdcos are hostage to rollover conditions.
- **Capital allocation drift.** GFH now owns 39.4% of Daewon Kangup (auto springs and seats) and 45.2% of Hyundai Everdigm (construction equipment). Neither fits a retail/food/fashion group; both purchases were driven by the 30% listed-subsidary rule rather than by return on capital. Management has also been explicit that GFH becomes the group's "investment control tower" for new business and M&A; the HHS cash pile (now fully controlled) is the war-chest. History (Zinus at HDS: KRW 78bn projected operating loss in 2026) is not encouraging.
- **Buyback is a 2026 event, not a policy.** The KRW 100bn buy-and-cancel was framed as compensation to HHS holders for the swap. Beyond 2026 the only hard commitment is the dividend.
- **Controlling family > 50%; float is thin.** Chung Ji-sun and Chung Kyo-sun held 33.7% and 24.8% before the swap (est. ~30% and ~22% after dilution). NPS holds 5.0%, foreigners only ~4%. Governance improvements are voluntary; a proxy contest cannot succeed.
- **Minority treatment precedent.** The HHS swap ratio (appraisal price KRW 60,709) valued HHS's operating business plus its net cash at close to zero once its listed stakes are netted out. Good for GFH holders, but a reminder that terms are set by the controller. The same discretion applies to the HHS-investment-co merger, the eventual Bioland fix and any succession-related transactions.
- **Consumer-cycle exposure.** Home shopping is in structural decline (HHS standalone OP KRW 134bn in 2021 → 77bn in 2025), Hyundai L&C is tied to Korean housing starts, Livart is in a 2-year revenue slide, and Handsome's Q2 2026 OP missed by ~60%.

4. Structure and listed holdings

4.1 Direct listed holdings of GFH (latest disclosed stakes)

Company (ticker)	Shares held	Stake	Ref. price (KRW, date)	Stake value (KRW bn)	Comment / recent change
Hyundai Department Store (069960)	8,055,190	37.35%	166,800 (9 Jun 26)	1,344	Up from 30.0% (Nov 23) → 35.1% (Sep 25) → 37.35% after open-market buys 29 Jun–7 Jul 26. Group incl. Chung Ji-sun 1.92%: 43.95%. HDS cancelled its treasury shares in H1 26 (share count ~21.6m).
Hyundai Green Food (453340)	~38.6m	39.3%	mkt cap 584 (Nov 25)	229	38.1% at Nov-23 in-kind contribution; drifting up as Green Food cancels treasury shares (0.76m more in 2026). H1 26 OP +34%. Value likely understated at 2025 prices.
Hyundai Ezwel (090850)	~11.2m	50.0%	5,980 (11 Feb 26)	67	35% → 50% via Nov-24 tender offer (15%). Ezwel cancelled 5.34% treasury in Apr 26; 2025 OP KRW 20.2bn.
Daewon Kangup (000430)	~24.4m	39.42%	4,480 (24 Apr 26)	110	Legacy (2009 white-knight) stake; 22.7% → 37.2% (Apr 26) → 39.4% (Jul 26) to satisfy 30% rule. Group total 47.3%. Non-core auto parts.
Hyundai Livart (079430)	~8.4m	41.2%	mkt cap 118 (2026)	48	Furniture; 2025 revenue –17%, OP –35%. No change in stake.
Hyundai Everdigm (041440)	~8.5m	45.2%	mkt cap 110 (2026)	50	Construction equipment; H1 26 OP +120% on Middle East/mining. Non-core.
Direct listed subtotal				1,848	

4.2 Listed holdings held through 100%-owned HHS (become direct after the Mar-2027 merger)

Company (ticker)	Stake	Ref. price / mkt cap (date)	Look-through value (KRW bn)	Comment
Handsome (020000)	40.5%	16,100 (4 Aug 26); mkt cap ~396	160	HHS raised 39.0% → 40.5% in early 2025. Handsome cancelling 4.3% treasury (KRW 20bn). Q2 26 OP KRW 4.6bn, ~60% below consensus.
Hyundai Futurenet (126560)	79.27%	mkt cap 355 (13 Aug 26)	281	Cash-rich ex-cable company (HCN sold to KT Skylife 2021). Holds 35% of Hyundai Bioland (052260) and 100% of Hyundai IT&E (bought May 24 for KRW 33bn). Cancelling KRW 4.7bn treasury.
Hyundai Bioland (052260) — indirect	35% via Futurenet	—	in Futurenet	Great-grandchild; Fair Trade Act requires 50%+ or disposal by Mar 27. Sale explored in 2025, then shelved in favour of the HHS spin-off route. Still open.
Indirect listed subtotal			441	

Also inside HDS (not GFH-direct): Hyundai Duty Free (100%), Zinus (013890, ~36%), Hyundai Bioland board seats. HDS is equity-accounted at GFH (37.35%), so these do not consolidate into GFH.

4.3 Treasury shares

- **GFH:** all 6,495,431 legacy treasury shares (held since the Nov-2023 in-kind contribution, ~4.2% of issued) were cancelled in H1 2026. 2,991,682 shares (1.92%, KRW 44bn) were bought in Feb–Apr 2026 and a further KRW 50bn programme was approved on 7 Aug 2026; all 2026 purchases (~KRW 100bn, ~7m shares) are to be cancelled by year-end. Pro forma, GFH will hold **no treasury shares**.
- **Subsidiaries:** HDS cancelled its treasury holding (~7.8%) and is buying KRW 21bn more; Green Food cancelling 763,723 shares (KRW 13bn); Handsome 4.3% (KRW 20bn); Futurenet KRW 4.7bn; Ezwel cancelled 1,268,458 shares (5.34%) in Apr 26. HHS's ~6.6% treasury was excluded from the swap and extinguished on delisting.

4.4 Recent changes in holdings and key news flow (chronological)

Date	Event
Mar 2023	Hyundai Green Food splits into GFH (holdco) and new Hyundai Green Food (opco).
Aug–Sep 2023	GFH tender offers for HDS and Green Food shares paid in new GFH shares (in-kind contribution; Green Food at KRW 12,620). Family contributes; GFH ends with HDS 30.0%, Green Food 38.1%; Chung Ji-sun becomes largest GFH holder. Holdco status effective Nov 2023.
Apr 2024	Cash tender for 3.0m HHS shares (25%) at KRW 64,200 (38.9% premium), KRW 193bn; 1.9x oversubscribed; stake 25.0% → 50.1%.
Nov 2024	Group value-up plan: interim dividends from 2025, dividend total to KRW 50bn by 2027, 80%+ payout, 4%+ return on equity investments, treasury cancellation. Tender for 15% of Ezwel → 50%.
2025	HDS +1.9% (H1) and +1.4% (Sep); HHS +7.3% → 57.4%; HHS lifts Handsome to 40.5%; brand-royalty regime (0.2% of sales) starts; first interim dividend KRW 10.1bn; 2025 dividends KRW 42.9bn, payout 82.5%.
11 Feb 2026	Board approves GFH–HHS comprehensive share exchange at 1:6.3571040 (appraisal prices: GFH 9,383 / HHS 60,709). KRW 100bn GFH buy-and-cancel; group-wide ~KRW 350bn cancellations; 2026 dividend raised to ≥KRW 75bn (≥KRW 441/share).
Mar 2026	AGM confirms cancellations; GFH cancels all 6,495,431 treasury shares. Commercial Code amendment (mandatory treasury cancellation) promulgated 6 Mar.
20 Apr 2026	EGMs approve the swap (GFH 97.7%, HHS 94.5% in favour). VIP Asset Management lifts HHS stake to 5.01% ahead of delisting, calling the terms cheap.
30 Jun / 20 Jul 2026	Swap completes; new GFH shares list 20 Jul; HHS delisted after 16 years. GFH buys HDS in the market to 37.35% and Daewon Kangup to 39.42% (29 Jun–7 Jul).
6 Aug 2026	HHS board approves spin-off of investment division ("Hyundai Home Shopping Holdings", 72.6% of net assets, KRW 1,225bn of assets) with split date 15 Dec 2026; the new company is to merge into GFH before 1 Mar 2027.
7 Aug 2026	Q2 26: consolidated revenue KRW 2,056bn (+2.8%), OP KRW 85.3bn (+15.6%); H1 OP KRW 203bn (+20%). Additional KRW 50bn buyback approved.
Sep 2026	Heungkuk reiterates BUY, TP 18,000 (from 20,000 in June); SK Securities TP 20,000 (26 Jun, NAV KRW 2.5tn, HDS 58% of NAV); IBK TP 19,000.

5. Private (unlisted) holdings: operating metrics and valuation

After the swap the single largest unlisted asset is the HHS operating company itself. Figures below are standalone (separate) financials from filings and press; EBITDA is estimated where D&A is not disclosed (HHS D&A assumed ~KRW 45bn p.a., L&C ~KRW 30bn p.a.).

5.1 Hyundai Home Shopping — operating company (100%)

KRW bn (standalone)	2021	2022	2023	2024	2025
Net sales	~1,082 (est.)	1,102	1,074	1,093	1,090
Sales growth	n/a	+1.8%	-2.5%	+1.7%	-0.2%
EBIT (operating profit)	133.9	112.7	44.9	61.8	77.3
EBIT margin	12.4%	10.2%	4.2%	5.7%	7.1%
EBITDA (est.)	~179	~158	~90	~107	~122
EBITDA margin (est.)	16.5%	14.3%	8.4%	9.8%	11.2%

Gross merchandise value (consolidated) KRW 6.1tn in 2025 (-3.8%). 2023 was the trough (TV-commission and SO-fee squeeze); 2024-25 recovered on cost cuts and mobile mix. Five-year sales CAGR ≈ 0%.

Valuation (est.): KRW 650bn (range 500-800). 4.0x 2025E EBITDA (KRW ~480bn EV, in line with listed Korean home-shopping peers at 3-5x) plus estimated standalone net cash of ~KRW 200bn remaining in the opco after the spin-off (opco retains ~27% of HHS net assets, ~KRW 460bn book). Cross-check: the swap implied ~KRW 730bn for 100% of HHS *including* its listed stakes and L&C, i.e. the opco was effectively acquired for close to nil.

5.2 Hyundai L&C — building materials (100% via HHS; acquired 2018 for KRW 340bn)

KRW bn	2021	2022	2023	2024	2025
Sales	1,015	~1,000	841	940	849
Sales growth	n/a	-1.5%	-16%	+11.8%	-9.7%
EBIT	~10	~2	22.3	25.5	25.7
EBIT margin	1.0%	0.2%	2.7%	2.7%	3.0%
EBITDA (est.)	~40	~32	~52	~56	~56
EBITDA margin (est.)	3.9%	3.2%	6.2%	5.9%	6.6%

Valuation (est.): KRW 150bn (range 100-250). 5x EBITDA (KRW ~280bn EV) less estimated net debt of ~KRW 130bn (rated A2 on CP; leverage inherited from the 2018 LBO-style purchase). Well below the KRW 340bn paid; the India/US expansion is the only growth angle.

5.3 Hyundai Rental Care — appliance rental (20% retained after 80% sale to a PEF in Dec 2022 for KRW 137bn)

KRW bn	2021	2022	2023	2024	2025
Sales	n/a	120.2	116.5	123.5	122.5
Sales growth	n/a	n/a	-3.1%	+6.0%	-0.8%
EBIT	n/a	3.8	6.2	5.3	12.0
EBIT margin	n/a	3.2%	5.3%	4.3%	9.8%

EBITDA not meaningful without rental-asset depreciation disclosure. **Valuation (est.): KRW 35bn** for the 20% (2022 deal implied KRW 171bn for 100%; profits have doubled since).

5.4 Hyundai Dream Tour — corporate travel (100%)

KRW bn	2021	2022	2023	2024	2025
Sales (net commission basis)	n/a	n/a	n/a	43.1	39.9
EBIT	n/a	n/a	n/a	n/a	12.7
EBIT margin					31.8%

B2B travel management for group affiliates, government and corporates; 2020-22 were COVID-impaired. **Valuation (est.): KRW 60bn** (~6x 2025 EBIT, captive-customer discount).

5.5 Other unlisted items

- **Hyundai IT&E** (2023: sales KRW 59.4bn, EBIT 3.2bn) was sold to Hyundai Futurenet in May 2024 for KRW 33bn and now sits inside the listed Futurenet.
- **Brand royalty stream:** ~KRW 20bn p.a. (0.2% on ~KRW 13tn of affiliate sales). Capitalised at 8x = **KRW 160bn** (est.).
- **Apgujeong 3-district commercial site:** book ~KRW 20bn; press estimates ~KRW 500bn post-redevelopment (decade-long timeline). Carried at **KRW 20bn** in base NAV; treat as free option.
- **Hyundai Duty Free, Zinus:** sit under HDS; captured through the HDS stake.

6. Holdco-level (non-consolidated) net debt

GFH consolidates HHS (100%), Green Food, Livart, Everdigm, Ezwel, Handsome (via HHS) and Futurenet (via HHS) but equity-accounts HDS. The consolidated balance sheet is therefore dominated by subsidiary cash and debt and says little about the holdco. Stripping the consolidated listed subsidiaries out and using the separate (별도) financials:

KRW bn, separate basis	Sep 2025 (KIS)	Feb 2026 (press)	Sep 2026 (est.)
Gross borrowings (all commercial paper)	220	~230	~430
Cash and equivalents	~10	~10	~50
Net debt	~210	~219	~380
Debt / equity (separate)	33.2%	—	~40% (est.)
Double leverage	114%	—	~115% (est.)

Sep-2026 bridge (est.): Feb net debt 219 + 2026 buybacks 100 + HDS open-market purchases ~75 + Daewon Kangup purchases ~40 + dividends paid ~45 (final 2025 + 2026 interim) – dividend income received ~62 – royalty/rental income ~30 – interest/opex ~15 ≈ 380. Separate 2025 P&L: revenue KRW 78.9bn, OP KRW 44.9bn; dividend income KRW 58.6bn. Note that the HHS operating company's own cash (~KRW 200bn est.) is one dividend away from the holdco now that it is 100%-owned; HHS 2025 consolidated equity was KRW 3.75tn against liabilities of KRW 1.22tn.

7. Sum-of-the-parts and discount

KRW bn	Base case	% of GAV	Basis
Direct listed stakes (section 4.1)	1,848	55%	HDS at 166,800; others at last verified prints
Listed stakes via HHS (section 4.2)	441	13%	Handsome, Futurenet at Aug-26 prices
HHS operating company	650	19%	4x EBITDA + net cash
Hyundai L&C	150	4%	5x EBITDA – net debt
Rental Care 20%, Dream Tour, royalty stream, Apgujeong land	275	8%	35 + 60 + 160 + 20
Gross asset value	3,364	100%	
Less holdco net debt (est.)	(380)		section 6
Net asset value	2,984		
Pro forma shares (m, est.)	170		155.8 – 6.5 cancelled + ~27.5 issued in swap – ~7 to be cancelled
NAV per share (KRW)	~17,550		
Price (11 Sep 26, approx.)	13,400		
Discount to NAV	~24%		vs 50-60% typical for KOSPI holdcos; ~45-55% for GFH in 2024-25

Sensitivity: HDS price and share count

NAV/share (KRW) → discount at 13,400	HDS 150,000	HDS 166,800 (last verified)	HDS 200,000	HDS 250,000
165m shares	17,270 → 22%	18,090 → 26%	19,700 → 32%	22,150 → 40%
170m shares (base)	16,760 → 20%	17,550 → 24%	19,130 → 30%	21,500 → 38%
177m shares (pre-cancellation)	16,100 → 17%	16,860 → 21%	18,370 → 27%	20,650 → 35%

Sell-side cross-check: SK Securities (26 Jun) NAV KRW 2.5tn with HDS 58% of NAV and 37.2% stake implies HDS at ~KRW 180k; Heungkuk (14 Sep) TP 18,000; IBK TP 19,000. Consensus TPs therefore sit at or slightly above our base NAV, i.e. brokers are effectively assuming the discount closes to near zero or that HDS re-rates to 200k+.

8. Has management acted to narrow the discount? Scorecard

Lever	Used?	Evidence
Share buybacks and cancellation	Yes (2026)	All 6.5m legacy treasury shares cancelled (H1 26); KRW 100bn buy-and-cancel in 2026 (~4% of shares); group-wide ~KRW 350bn cancellations. No multi-year buyback policy beyond 2026.
Dividend increases	Yes, strongly	DPS 210 (FY24) → interim introduced 2025 → total KRW 42.9bn (FY25, 82.5% payout) → ≥KRW 75bn / ≥441 per share (FY26) versus original KRW 50bn-by-2027 plan. 80%+ payout policy on separate NI.
Reduction in listed holdings / duplicate listings	Yes	HHS delisted (Jul 26) via swap; investment arm to merge into GFH by Mar 27. Group now has one fewer listed layer.
Asset sales	Partly	HCN cable sale to KT Skylife (2021, at HHS); Rental Care 80% sold to PEF (2022). Bioland sale explored in 2025 then shelved. No disposals of non-core Everdigm or Daewon Kangup; in fact both were topped up.
Simplification of structure	Yes	2023 single-holdco conversion; Ezwel to 50%; HDS to 37%; HHS 100%; grandchild stakes promoted to child level after the 2027 merger.
Transparency / IR	Improving	Value-up disclosure (Nov 24), annual implementation reports, revised plan (May 26) with explicit floors; KIS credit opinion; regular broker coverage (Heungkuk, SK, IBK).
Board / governance	Limited	Co-CEOs are the two controlling brothers; no independent chair; no minority-nominated director. Improvements are policy-driven, not structural.

9. Pre-mortem: it is September 2028 and the stock is at KRW 9,000. What happened?

- **HDS mean-reverted.** Chinese inbound traffic and the KOSPI wealth effect faded; Zinus kept losing money; HDS fell back to 110-120k. GFH NAV lost ~KRW 450bn and, with HDS at half of NAV, the holdco fell more than proportionally as the discount re-widened.
- **The holdco spent the HHS cash on M&A.** The "investment control tower" bought a mid-sized consumer or healthcare asset at a full price in 2027; the market applied a conglomerate discount to the new asset and stopped crediting the cash.
- **Buyback ended, dividend growth stalled.** 2026's KRW 100bn was not repeated; 2027 dividend income came in below the KRW 100bn guide because HHS's opco needed cash for the merger and the Fair Trade Act clean-up (Bioland top-up to 50%+ or forced sale at a bad price).
- **Leverage bit.** CP-funded holdco net debt crossed KRW 500bn; a rating watch forced the holdco to slow returns.
- **Succession noise.** Third-generation transfers or related-party transactions (Apgujeong redevelopment, IT services) were structured at the holdco; minorities had no say.
- **Sector rotation.** Korean holdcos de-rated as the value-up trade crowded out; foreigners (only 4% of the register) never arrived and domestic dividend funds moved to higher-yielding financials.

Early-warning indicators to monitor: HDS monthly same-store sales and inbound data; GFH separate-basis CP balance (quarterly report); any "new business investment" disclosure at GFH; the 2027 dividend declaration versus the KRW 100bn income guide; terms of the HHS-investment-co merger (should be a nil-consideration merger of a 100% subsidiary); Bioland resolution before 1 Mar 2027.

10. Is the current valuation too high?

- **Versus its own history:** the discount has halved (roughly 45-55% in 2024-25 to ~20-35% now). Market cap up ~85% year-to-date against NAV growth of perhaps 30-40% (HDS re-rating plus the accretive swap).
- **Versus peers:** the nine large KOSPI holdcos averaged a ~55% discount in May 2026 (SK Securities sector note). GFH is now among the tightest-priced holdcos in Korea. That is partly deserved (100% HHS, no treasury

overhang, high payout, no cross-shareholdings), but a 20-25% discount leaves little margin for holdco leverage, non-core stakes and controller discretion.

- **Yield support:** $\geq 3.3\%$ on the 2026 floor; $\sim 3.5\text{-}4.2\%$ if 2027 dividends track the KRW 100bn dividend-income guide plus royalty income at an 80% payout ($\sim$ KRW 470-560/share). Compared with KOSPI at $\sim 6,900$ and Korean 3-year yields, the yield is supportive but not compelling.
- **Verdict:** not egregiously expensive, but fairly priced for a controlled holdco. Upside from here requires (a) HDS at 200k+ or (b) a credible multi-year cancellation policy replacing the 2026 one-off. We would accumulate below KRW 12,000 ($\geq 30\%$ discount on base NAV) and trim above KRW 16,000 absent a new catalyst.

11. Contrarian view: what the market refuses to see

- **GFH is becoming an operating company, not a holdco.** With HHS (KRW 1.1tn sales, KRW 77bn EBIT), L&C (KRW 0.85tn sales) and Dream Tour 100%-owned, more than a third of NAV is now wholly-owned cash-generative businesses whose cash the holdco can direct without minority leakage. Holdco discounts are meant to compensate for the inability to reach subsidiary cash; that argument now applies only to HDS and Green Food.
- **The swap was a value transfer to GFH holders.** Net of Handsome, Futurenet and L&C, HHS's operating business plus $\sim$ KRW 200bn of cash was acquired for approximately nothing, in GFH paper issued at a $\sim 40\%$ discount to NAV. Accretion to NAV per share was mid-teens percent, which the price has only partly reflected because the market is anchored on the headline dilution.
- **Regulation is now pulling in the same direction as the controller.** The 30%/50% ownership rules, mandatory treasury cancellation, and dividend separate taxation all push the family toward higher stakes, cancelled shares and higher payouts. The family's own income needs (succession funding) are met by dividends, aligning them with minorities for the first time.
- **The negative contrarian point:** the market also refuses to see that GFH has quietly become a net borrower and that $\sim$ KRW 160bn of its recent purchases (Daewon Kangup, Everdigm, Ezwel top-ups) were compliance purchases with no return thesis. If HDS rolls over, a levered holdco with non-core stakes and a thin float can fall faster than its NAV.

12. Activist case

Feasibility. Low for a control contest: the brothers hold an estimated $\sim 52\%$ post-swap plus affiliates; NPS 5%; foreigners $\sim 4\%$; float $\sim 35\%$. Korea's 2025-26 Commercial Code amendments (duty to shareholders, cumulative voting at large listcos, mandatory cancellation) improve the legal footing, and the group has shown it responds to public pressure (VIP Asset Management's public stance on the HHS terms coincided with the buyback compensation). The realistic model is constructive, public engagement of the Align/VIP type rather than a proxy fight.

The asks, in order of value and probability:

Demand	Value (KRW/share)	Rationale and likelihood
Multi-year buy-and-cancel policy (e.g. 2% p.a. 2027-29), funded from HHS opco cash	~1,500-2,000 (discount 24% → ~12%)	Cheapest lever; HHS cash is now 100% reachable. Medium likelihood; management has already shown willingness in 2026.
Dispose of non-core Daewon Kangup (39%) and Everdigm (45%)	~900 (KRW 160bn cash, de-lever)	Neither fits the group; sale removes conglomerate taint and repays CP. Low-medium likelihood (legacy relationships).
Payout policy on dividend <i>income</i> rather than separate NI, with a 2027 floor of KRW 100bn	~+150/share of DPS	Converts the guided KRW 100bn income into a hard DPS. Medium-high likelihood given the trajectory.
Monetise or ring-fence the Apgujeong site; independent valuation	optionality ~2,900	Book KRW 20bn vs ~KRW 500bn potential. Low near-term likelihood; multi-year redevelopment.
Independent chair and a minority-nominated director; related-party transaction committee with veto over "control-tower" M&A above KRW 100bn	discount protection	Addresses the main pre-mortem risk. Low likelihood without external pressure.
Terms review for the HHS-investment-co merger and Bioland resolution	defensive	Ensure nil-consideration merger and that any Bioland purchase is at market, not a premium to a related party.

Who could run it: a domestic value manager already on the register (VIP-type), NPS through its stewardship code, or a foreign activist using a 1-3% stake plus public letters. **Payoff:** if the buyback and disposal asks are met, NAV/share rises ~5% and the discount can plausibly compress to 10-15%, worth ~KRW 17,000-18,500 versus 13,400 (+27-38%). Downside if ignored is limited to the ordinary HDS-beta risk.

13. Conclusion and positioning

- **Rating:** Accumulate on weakness; core holding size for a Korea value-up book, not a high-conviction discount trade.
- **Base NAV:** ~KRW 17,500/share (HDS at last verified 166,800); ~KRW 19,100 with HDS at 200k. Fair value KRW 15,000-16,000 (10-15% discount) if the 2027 dividend step-up is delivered and a rolling cancellation policy is announced; KRW 11,000-12,000 if HDS de-rates and the buyback is not renewed.
- **Catalysts:** 15 Dec 2026 HHS spin-off; merger into GFH by 1 Mar 2027 (watch for any consideration); FY26 dividend declaration (Feb 27); 2027 dividend income guide of KRW 100bn; Bioland resolution; HDS Q3/Q4 department-store SSSG.
- **Key risks:** HDS multiple, holdco CP refinancing, value-destructive M&A, controller discretion on transaction terms, thin float.

Sources (public, accessed via search on 14 Sep 2026)

- Company IR: ehyundai.com holdco investor pages (affiliates, dividends, financial summaries); GFH value-up disclosures (Nov 2024, May 2026) and implementation reports.
- Filings summarised in press: GFH/HHS share-exchange registration (Feb-Mar 2026), HHS spin-off decision (6 Aug 2026), GFH stake reports on HDS (Jun-Jul 2026) and Daewon Kangup (Apr-Jul 2026), HDS treasury cancellation, Ezwel and Green Food cancellations.
- Broker notes: Heungkuk Securities (11 May, 23 Jun, 10 Aug, 14 Sep 2026); SK Securities (11 Feb, 26 Jun 2026; holdco sector notes 19 and 28 May 2026); IBK Investment & Securities (2023 initiation, Q1 and Q2 2026 reviews); Kiwoom on HDS (10 Jun 2026); KIS credit opinions on GFH and Hyundai L&C (Dec 2025).
- Press: Asia Economy, ZDNet Korea, Dealsite, EBN, The Bell, Newspim, Digital Today, Insight, Newsway, Business Post, fnnews, News1, Hankyung, Money Today, Aju Economy, Seoul Economic Daily, Asia Today, TIN News, Bloter, Topdaily, Ftoday, Heraldcorp, Etoday, Businesskorea (KOSPI close 11 Sep 2026).
- Company financial summaries for unlisted subsidiaries: Saramin, Catch, NICE BizInfo (Hyundai L&C, Hyundai Rental Care, Hyundai Dream Tour, Hyundai IT&E).

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